

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02350

Report ID:	AR-02350
Audit Type:	Procurement Compliance Audit
Report Date:	August 28, 2025
Audit Period:	2024-09-08 to 2025-07-29
Lead Auditor:	Ian Hall (EMP-47649)
Reviewed By:	John Le (EMP-54501)
Primary Vendor Reference:	RedPoint Consulting Inc (VND-00762)
Subject Employee Reference:	Sally Nguyen (EMP-21542)
Primary Transaction Reference:	TXN-985527
Overall Risk Rating:	CRITICAL

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2024-09-08 to 2025-07-29 and focused on transactions and approvals associated with vendor RedPoint Consulting Inc (VND-00762). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **CRITICAL** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-985527 (amount 8,217.15 EUR) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-000346	HIGH	APPROVAL LIMIT	Payment of \$322,359 approved at Level 2, which has a limit of \$500,000. Transaction exceeded limit by \$9,507.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001447	HR RECORD	EVD-QRD-2828	0.65
EVI-001920	COMPLIANCE RECORD	EVD-XSG-9148	0.55
EVI-002629	CONTRACT RECORD	EVD-OKL-7422	0.96
EVI-003238	DNS LOG	EVD-PDG-8007	0.71
EVI-003739	TRANSACTION RECORD	EVD-LCI-0239	0.70
EVI-004551	TRANSACTION RECORD	EVD-HXL-2971	0.84

5. RECOMMENDATIONS

- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Require compliance certificate verification as a system gate prior to payment release.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Ian Hall	EMP-47649	2025-08-28
Reviewing Officer	John Le	EMP-54501	2025-08-30